BUSINESS ORGANIZATIONS
LAWS 42301
FINAL EXAMINATION

University of Chicago Law School
Professor William A. Birdthistle

Autumn Quarter 2025

Instructions

1. This is a three-hour, proctored, open-book/no internet examination.

2. You may consult any hardcopy materials or files on your laptop; however, you may not use the internet. You may not discuss the exam with any person, in this class or otherwise, until the end of the examination period.

3. The exam comprises three questions and is **5** pages long. The questions are weighted equally, so you should allocate your time accordingly.

4. In answering the questions, please be specific and explain your thoughts fully. Please draw reasonable inferences from the facts, and if you need additional facts to resolve issues, state what those facts are and why you need them. Deal with all issues raised by the question, even if you believe that the disposition of one issue is controlling.

5. Finally, good luck!

QUESTION I

Alana Ahern was a graduate student at the University of Chicago and one of America's leading experts in artificial intelligence. Her specialty was in engineering systems capable of creating a multitude of identities to undertake repetitive tasks on a massive scale. To conduct her work, Ahern relied on extensive and expensive access to high-powered computer servers.

Bridget Barrett was the managing partner of Lincoln, Douglas & Grant, LLP, the largest law firm in Chicago with 1000 partners. Envisioning the utility of Ahern's AI in vastly reducing the costs associated with paralegals and, perhaps, other members of the firm's workforce, Barrett approached Ahern with a proposal.

"How about I give you a million dollars to support your work?" asked Barrett.

"Thanks," replied Ahern, "but I don't want a boss."

"Of course not, I wouldn't dream of telling you what to do," said Barrett.

"Then what's in it for you?" asked Ahern.

"You'd let me use the AI. And you'd return the million dollars when your AI makes back the money," said Barrett. "If it makes a lot more than that, we can talk about to do with the extra."

"Okay," said Ahern.

Barrett immediately used Ahern's AI to restructure the law firm from a limited liability partnership to a collection of 1000 different corporations, each managed by a different partner, all of whose shares were issued to Barrett. Barrett contractually agreed to direct to each partner a designated percentage of the aggregate profits generated by the thousand companies.

Ahern, meanwhile, began using her AI protocol to develop a powerful new chatbot at the request of Cillian Connor. Connor was Ahern's academic advisor, who had a nasty habit of exploiting the labor of graduate students for his personal gain. Indeed, he licensed Ahern's chatbot to Illinoilco, a Fortune 500 company, for a substantial amount of money.

Not long afterwards, the chatbot began spewing offensive slurs at every customer of Illinoilco who interacted with the program.

When Barrett then received a demand for millions of dollars from Illinoilco, she retained your services to prepare a memorandum setting forth all the potential claims that could arise from these developments. Please write a draft of that memorandum.

QUESTION II

Xavier Xerxes was the chief executive officer and chair of the board of directors of GraftKings, Inc., a publicly traded corporation organized under the laws of Delaware. GraftKings was the largest gambling enterprise in the United States, with an especially profitable business line in proposition bets. "Prop bets" are specific wagers on the occurrence or non-occurrence of specific events, such as a candidate winning a particular election or an athlete scoring a precise number of points in a game.

To plan for the orderly succession of leadership at GraftKings, Xerxes – who was planning to retire soon – approached his son's college fraternity brother, Yves Yeager, to serve as the company's new president.

"I already have an offer at Capitol Capital Management," said Yeager. "It's kind of a big deal private fund. And I start there next Monday."

Xerxes had heard his son describe Yeager as "cool and, you know, smart." Accordingly, Xerxes acted immediately to offer Yeager double his fund salary to join GraftKings instead. Yeager agreed and began working at GraftKings.

During and after college, Yeager had amassed a long and checkered record of inflicting his unwanted advances upon women. And soon after he began working at GraftKings, he began sexually harassing several of his new professional colleagues. In the ensuing internal investigation conducted by the general counsel of GraftKings, Yeager said: "I was just looking for some social company for myself."

Meanwhile, Zetta Zamora, the chief executive officer of America's second largest gaming business, FanTool, approached Xerxes about an acquisition of GraftKings. The stock of GraftKings was trading publicly for about $5 a share; Zamora offered $15 a share.

"When have you ever bought a company before?" replied Xerxes. "Get lost."

"Never," replied Zamora. "I'm coming for everything, and there's nothing you can do to stop me."

Xerxes could, in fact, stop Zamora. He anonymously leaked a copy of the internal Yeager investigation to Zamora, which ended Zamora's interest in the deal.

Shortly thereafter, GraftKings fired Yeager. Yeager – who had placed a massive bet on the proposition that GraftKings would fire a senior officer that year – collected millions of dollars on his wager.

A minority shareholder in GraftKings has retained your services to prepare a memorandum setting forth all the potential claims that could arise from these developments. Please write a draft of that memorandum.

QUESTION III

Please comment on the following quotation, with a particular emphasis on whether or how it implicates specific doctrinal and policy developments in American corporate law:

> What visions of a shared transformative future are possible, and what happens to emancipatory politics, and to democracy itself, without them?
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> *Abundance*, by two American journalists [Ezra Klein and Derek Thompson], provides one answer. American liberals in positions of governance should commit to deregulation, which the authors believe will unleash the power of the market and of technology to provide cheap and plentiful housing, energy, and medicine. They define the "abundance' they seek as a "state in which there is enough of what we need to create lives better than what we have had," and they believe it is "important to imagine a just – even a delightful – future and work backward to the technological advances that would hasten its arrival."
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> . . . .
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> They describe their agenda as a "liberalism that builds," one focused on production and increasing supply, not on consumption, and certainly not on redistribution. They believe that technology and invention are the most powerful forces for social change: "It is not just that the politics we have will affect the technologies we develop. The technologies we develop will shape the politics we come to have."
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> The agenda also comes with a diagnosis of the problem. Starting in the 1970s many liberals (Ralph Nader is their main example) "acted across many different levels and branches of government . . . to slow the system down so the instances of abuse could be seen and stopped." Although each reform may have been individually admirable or desirable, the accumulation of these blockages, regulations, and choke points undercut the capacity of the state to do much of anything . . . .
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> They claim to set an agenda for a new liberal political order, but what they have done is read some economists and argue, again, for deregulation.
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> . . . .
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> Klein and Thompson do not cite but bring to mind John Maynard Keynes's 1930 essay "Economic Possibilities for Our Grandchildren," which also imagined a future of abundance and shorter workweeks.

> Keynes predicted future GDP almost perfectly, but he thought economic growth would be widely shared, and his future included a solution to technological unemployment as well as the end of the accumulation of wealth as a source of social importance. Klein and Thompson do not consider why this future was superseded, and now, ninety-five years later, they set out to imagine it again, believing the past is a long trajectory of technological progress temporarily held back by regulation and social protections enacted by procedural liberals. For them, the relation of the past to the future is part of a story of overcoming, not a tragedy of lost possibilities.
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> They are right that much of the blame for our current predicaments can be traced to the forms of liberal governance since the 1970s, but they are mistaken to blame, more specifically, its predilection for environmental regulation and building codes. Rather, it is the way liberal politicians have either acquiesced to or actively encouraged the rise of an unaccountable tech and finance oligarchy that now threatens the continued existence of democracy itself and that claims a monopoly on the capacity to imagine and create the future.

["How to Blow Up a Planet," Trevor Jackson, THE NEW YORK REVIEW OF BOOKS, September 25, 2025.]

END OF EXAM